

In the absence of earnings growth, the stock price performance is subdued. Ultimately, stock prices are slaves of earnings, and earnings have been disappointing.

Q: Indian equities continue to command a significant premium as compared to peers. What is your view—is some sort of recalibration underway?

A: I have a simple answer to those who make this point that India's growth rate is higher. One, today the country of listing does not necessarily reflect in the underlying business. We have enough companies listed in India that have huge global operations. Tata Motors in India owns Jaguar Land Rover, Hindalco owns Novelis, and Tata Steel owns Corus.

Indian companies are also multinationals, and while one can argue that India's growth rate is higher

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“One sector where valuations look reasonable as compared to historical averages has been the banking space. IT services sector has gone through cycles of high and subdued growth earlier also”

or could be higher depending on one's views, a situation where if you buy the global parent, the entire Indian market cap is accounted for as a small portion of that and the rest of the global business you get free. That situation is clearly an anomaly. You cannot explain that away by India's high growth rate.

Q: Is the number of investors and the amount of domestic inflows evidence that the Indian market is maturing or overconfidence in equities?

A: I would say a bit of both. At one end, Sebi (Securities and Exchange Board of India) data shows that in the last financial year, we probably raised ₹1.7 lakh crore via IPOs (initial public offerings).

